

PRACTICE CASE STUDY

Meridian Mechanical Services Ltd.

Credit Analysis Training File | BMO Commercial Banking

1. The Deal at a Glance

Item	Detail
Borrower	Meridian Mechanical Services Ltd.
Location	Hamilton, Ontario
Industry	Plumbing and HVAC installation and service
Loan requested	\$800,000 term loan
Proposed term	5 years
Proposed rate	Prime + 1.50% (approx. 7.45% as of application date)
Purpose	Purchase of 6 new service vans and HVAC diagnostic equipment
Existing BMO relationship	Yes. Existing equipment loan and operating line both held at BMO.

2. Company Background

Meridian Mechanical Services Ltd. was incorporated in Ontario in 2016. The company provides residential and light commercial plumbing and HVAC installation, repair, and maintenance services across the greater Hamilton and Burlington area. As of 2024 the company employs 18 full-time staff including 12 licensed tradespeople.

The company operates out of a rented facility in an industrial park in Hamilton's east end. The lease is month-to-month with a verbal understanding of renewal but no signed long-term lease. The shop is used for vehicle storage, parts inventory, and administration.

Revenue mix in 2024 was approximately 45% residential service and repair, 30% commercial HVAC installation contracts, and 25% maintenance contract recurring revenue. The maintenance contract book is considered the most stable portion of the business.

The company's single largest client is Hartwell Property Group, a Hamilton-based commercial property management firm. Hartwell accounted for 32% of total 2024 revenue. The relationship is ongoing and has been in place for four years, but there is no long-term contract in writing. It operates on annual service agreements renewed each January.

Marco has verbally indicated he expects 2025 revenue to reach \$3.8 to \$4.0 million based on a new commercial HVAC contract he is in discussions to finalize. No signed agreement or letter of intent has been provided to the bank. The RM noted this contract is with a local school board and has not yet been formally awarded.

3. Industry Context

Plumbing and HVAC services is a trade-dependent sector that BMO considers an acceptable industry for commercial lending. Demand is supported by aging housing stock, new residential construction, and increasing commercial tenant requirements for climate control systems.

The Ontario market has experienced sustained cost pressure since 2022 due to supply chain disruptions driving up copper, refrigerant, and equipment costs. Several smaller operators have exited the market or been acquired, which has created consolidation opportunities for established players like Meridian.

Skilled labour availability is a known constraint in the sector. Meridian has managed to retain its core team but noted one senior HVAC technician departed in early 2024 and has not been replaced. The RM noted that Marco is actively recruiting.

The company holds all required provincial trade contractor licenses. There are no outstanding orders, violations, or regulatory concerns on file.

4. Ownership and Management

Marco DeLuca, 44, is the 90% owner and sole active operator of Meridian Mechanical Services. He has 18 years of industry experience, having worked as a licensed plumber and HVAC technician before founding the company in 2016. He manages all client relationships, estimating, and day-to-day operations.

Sofia DeLuca, 42 (Marco's spouse), holds the remaining 10% of shares. She is not active in the business and holds a full-time position as a school administrator with the Hamilton-Wentworth District School Board. She was not consulted during the loan application process.

Marco's personal draw from the business in 2024 was \$185,000, structured as a salary through payroll. In 2023 it was \$150,000 and in 2022 it was \$140,000. He has also taken dividends from the company each year:

- 2024: \$185,000 in dividends
- 2023: \$150,000 in dividends
- 2022: \$90,000 in dividends

There is no formal succession plan in place. Marco is the primary relationship holder for all major clients including Hartwell Property Group.

5. Relationship Manager Notes

The RM on this file is David Osei, a Hamilton-based commercial account manager who has managed Meridian's account for three years. Key observations from his file notes and site visit conducted in November 2024:

- David visited the Hamilton facility during business hours. Three vans were on site being loaded for the morning dispatch. The shop was organized and appeared operational.
- The existing fleet showed visible wear. Two vans have over 280,000 km and one was noted as awaiting a transmission repair that has been deferred.

- David met with Marco for approximately 90 minutes. He found Marco to be knowledgeable, direct, and confident about the company's prospects.
- When David asked about the company's CRA account status, Marco initially indicated there were no issues, then after a pause noted there were some timing differences on tax instalments that he expected to resolve before year end. The CRA payable appears on the 2024 balance sheet.
- David supports the deal but noted his primary concern is the reliance on Hartwell Property Group and that the fleet genuinely needs replacing to avoid operational disruption.
- David confirmed the equipment being purchased consists of 6 Ford Transit cargo vans at approximately \$70,000 each and HVAC diagnostic and refrigerant recovery equipment at approximately \$380,000.

6. Financial Statements

6.1 Income Statement (Three-Year Summary)

	2022	2023	2024
Revenue	\$2,450,000	\$3,100,000	\$3,350,000
Cost of goods sold	\$1,495,500	\$1,829,000	\$2,077,000
Gross profit	\$954,500	\$1,271,000	\$1,273,000
Operating expenses	\$619,500	\$760,000	\$853,000
EBITDA	\$335,000	\$511,000	\$420,000
Depreciation	\$95,000	\$105,000	\$110,000
EBIT	\$240,000	\$406,000	\$310,000
Interest expense	\$52,000	\$48,000	\$44,000
EBT	\$188,000	\$358,000	\$266,000
Income tax	\$51,000	\$97,000	\$72,000
Net income	\$137,000	\$261,000	\$194,000

Note: Owner salary is included within operating expenses above. The amounts were \$140,000 (2022), \$150,000 (2023), and \$185,000 (2024). The CPA has noted that market compensation for a general manager in this trade and region is approximately \$120,000 per year.

6.2 Balance Sheet (December 31, 2024)

Assets	Amount
Cash	\$85,000
Accounts receivable	\$510,000
Prepaid expenses and other current assets	\$35,000
Total current assets	\$630,000

PP&E - gross (vehicles and equipment)	\$1,020,000
Less: accumulated depreciation	(\$430,000)
Net PP&E	\$590,000
Total assets	\$1,220,000
Liabilities and Equity	Amount
Accounts payable	\$145,000
CRA payable (income tax instalments in arrears)	\$45,000
Current portion of long-term debt	\$110,000
Accrued liabilities	\$55,000
Total current liabilities	\$355,000
Long-term debt	\$510,000
Total liabilities	\$865,000
Shareholders' equity	\$355,000
Total liabilities and equity	\$1,220,000

6.3 Existing Debt Schedule (as of application date)

Facility	Original Amount	Outstanding Balance	Annual P&I	Security
BMO equipment loan A (2020)	\$320,000	\$148,000	\$78,000	First charge on 2020 vans
BMO equipment loan B (2022)	\$480,000	\$382,000	\$115,000	First charge on 2022 vans
BMO operating line	\$150,000 limit	\$90,000 drawn	Interest only	GSA
Total existing debt		\$620,000	\$193,000/yr	

Note: The proposed new loan of \$800,000 over 5 years at 7.45% would carry an approximate annual P&I payment of \$192,000.

6.4 Collateral Available (Estimated)

Asset	Est. Market Value	Notes
Existing fleet (14 vans and trucks, 2018 to 2023 models)	\$720,000	RM estimate using NADA commercial vehicle guide. No formal appraisal completed.
Existing tools and equipment	\$95,000	Book value estimate only.
New vans (6 x Ford Transit, to be purchased)	\$420,000	Purchase price.
New HVAC diagnostic equipment (to be purchased)	\$380,000	Purchase price.

Note: The company rents its premises. There is no owned real estate available as collateral. Existing BMO charges on the current fleet total approximately \$420,000 in outstanding principal.

7. Personal Financial Statement (Marco DeLuca)

As submitted by Marco at time of application:

Item	Amount
Primary residence (Hamilton, ON)	\$890,000
Residential mortgage outstanding	(\$480,000)
RRSP	\$145,000
TFSA	\$32,000
Personal vehicle (2022 Ford F-150)	\$42,000
Vehicle loan outstanding	(\$18,000)
Personal net worth (as submitted by Marco)	\$611,000

Credit Bureau Finding: Marco's personal Equifax report reveals a personal line of credit with TD Bank showing a current balance of \$28,000. This liability does not appear on the personal financial statement Marco submitted. When the RM raised this, Marco indicated he had forgotten about it and that it was used to fund a home renovation.

Marco's personal credit score is 724. The report shows one 30-day late payment on the personal LOC in August 2023 and no other derogatory history.

Sofia DeLuca has not been asked to provide a personal financial statement or personal guarantee at this stage.

8. Documents Provided and Outstanding

Document	Status
3 years of reviewed financial statements	Provided
CRA T2 tax returns (2022, 2023, 2024)	Provided. Revenue figures match reviewed statements.
Personal financial statement (Marco)	Provided. One discrepancy noted. See Section 7.
AR aging schedule	NOT provided. Requested by analyst.
Equipment appraisal (existing fleet)	NOT completed. RM estimate only.

Signed contract or LOI for school board opportunity	NOT provided. Deal not yet awarded.
Sofia DeLuca personal financial statement	NOT requested yet.
Key person life and disability insurance certificates	NOT on file.
PPSA search results	Pending. To be completed prior to funding.
Signed long-term facility lease	NOT available. Month-to-month only.

Your Task

Apply the full credit analysis framework to this file. Work through each step, calculate all relevant ratios, assess the 5 C's and 4 M's, evaluate collateral coverage, run your sensitivity analysis, identify and document all risks and their mitigants, and arrive at one of the three possible recommendations.

There are several deliberate items embedded in this file that a thorough analyst would catch and address. Good luck.